Executive Summary
Template

Recommended Solution:

- Developed a Random Forest churn prediction model to identify high-risk customers.
- Performed EDA and feature analysis to understand churn drivers.

Situation:

- PowerCo is experiencing customer churn in its SME energy segment, impacting revenue stability. The company wants to identify drivers of churn and improve customer retention. Historical customer data including pricing, consumption, tenure, and service attributes was analyzed. Advanced analytics and machine learning techniques were applied to uncover churn patterns.

Complication:

- Initial analysis shows only weak price sensitivity among churned customers, indicating that pricing alone does not fully explain churn. Churn appears to be influenced by multiple factors, including:
  1. Customer tenure
  2. Consumption levels
  3. Contract and service characteristics

Without identifying the key drivers of churn, PowerCo risks continued customer loss and declining margins.

Question:

- What are the key drivers of customer churn?
- How can PowerCo proactively identify high-risk customers and reduce churn?